

How to Pay Claims More Quickly – an ILAG Guide

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1. Introduction

ILAG is a trade body representing members from the Life Assurance and Wealth Management Industries.

ILAG members share and develop their practical experiences and expertise, applying this practitioner knowledge to the development of their businesses, both individually and collectively, for the benefit of members and their customers.

ILAG also seeks to identify areas where, by pooling practitioner knowledge and experience, it can make recommendations which will help to improve customer outcomes.

In July 2009 the Protection Practitioner Group set up a Working Group to tackle two issues:

- Find a way to get single life death claims paid more quickly (research showed that current industry timescales are 2-3 months).
- Find a way to ensure that the proceeds of any payment fall outside of the deceased's estate for IHT purposes.

The Working Group sought to create a solution that would work for the majority of customers, applying the 80:20 rule and accepting that, in many cases, advisers will wish to provide specialist trust advice directly to their clients.

2. The Working Group

The Working Group comprised the following practitioner members:

Ruth Gilbert – Scottish Widows – Technical Manager
Kevin Russ – Bupa - Technical Services Consultant
Rory Jones – AXA - Technical Manager Protection
Marcia Banner - Scottish Widows - Trusts Senior Manager
Simon Grant – RGA – Assistant Claims Manager
Mick James – RGA – Business Development Manager
Charlene Roderman – RGA – Legal Counsel
Julie Hopkins – Hannover Re - Head of Underwriting & Claims Strategy
Rachel Clark – Bright Grey
Maria White – Standard Life – Customer Services Manager - Claims

ILAG also welcomed *Karen Evans and Nicola Plews from the ABI* to the Working Group.

3. Methodology

The ILAG Working Group had three workstreams:

- Quantifying the issue
- Determining available legal solutions
- Determining available operational solutions

4. Quantifying the issue

Research conducted by RGA on behalf of ILAG suggested that the average time to settle a death claim was 73 days and that the average payout was around £65,000, findings which were subsequently backed up by ABI research in the same area.

This lengthy process is clearly not what customers would expect at inception.

There was significant variation between companies and this indicates variations in claims processes are a significant element in the elapse times.

In addition there are significant differences in how Life Offices and Intermediaries approach the use of trusts, both now and historically, and anecdotal evidence suggests that trusts are in evidence on only 10-15% of claims made today.

It should be noted that speeding up death claim payments is really an issue that relates mostly to single life policies. For joint life first death policies, there is always the survivor to pay, so there is no delay in waiting for probate.

Ideally any solutions should take account of new business and existing business.

5. Determining what legal solutions may be available

The Working Group examined four possible solutions and the recommendations are laid out below. Life Offices should engage with their own legal teams to consolidate their own legal opinions.

5.1. Proposal 1 - Simplified trust form integrated within the application form.

This proposal is for generic trust provisions to be incorporated within the application forms. The policy holder would tick a box to indicate that they wanted the policy to be issued to the policy holder as trustee. The trust provisions would either be very simple (akin to MWPA) or would be referenced in the application form and policy provisions. In the latter case the trust provisions would be held in a separate document which could be accessed via the web or given as a separate document to the client pre or post sale.

Adopting a Married Women's Property Act approach might work well (i.e. the policy is expressed to be for the benefit of the spouse and/or children of the settlor) and alternative destination clauses could be selected by the policyholder on the application form.

This would be all that would be needed to set the trust up and would ensure that the proceeds fell outside of the estate.

In order to make the trust work properly, a second trustee would have to be appointed by the policy holder. Guidance should be given about the appointment of this trustee – they should be over 18 and should be likely to outlive the policy holder.

There are a number of ways to achieve this:

- Ask for the name and address of the second trustee on the application form.
- Send a form out with the policy documents asking the customer to appoint a secondary trustee and to provide details.

The additional trustee or trustees are required in order to ensure that the proceeds can be paid out quickly upon death. Trustees do not need to accept their role, but do need to be told that they have been appointed – they do not need to sign anything.

Issues with the appointment are:

- The additional trustee must be advised that they have been appointed - either by the life office writing to them, or by passing the onus to the customer to ask the trustee.
- The additional trustee could change address, lose contact with the policy holder or die during the life of the policy holder. This could be dealt with by regular contact with the policy holder during the life of the plan, and regular opportunities to change the additional trustee.

Potential improvements:

It should be possible for the policy holder to write the name of the chosen beneficiary on the application form – the wording would have to be such that, in the event of the death of the named individual, the monies would not revert to the policy holder's estate.

Things to consider

Extra processes and expense may be incurred by Life Offices who try to keep track of amendments to trustees etc.

If the policy holder included a named beneficiary on the application then companies would need to think about how they could change this upon request.

The following **SWOT** highlights some of the parameters surrounding this solution.

Strength

- The life office has no liability – it just pays to the trustees
- This is a recognised legal process
- It will speed up claims payments
- It will mitigate IHT
- An element of discretion could be built in even in MWPA was used

Weakness

- The application process is potentially longer and more complicated
- The Life Office will have to change its process
- The Life Office will have to stay in regular contact with the policy holder
- Confusing language introduced to the application process

Opportunity

- Speeds the process
- Pays outside of the estate

Threat

- IFAs may not want to introduce even minimal change into the process

5.2. Proposal 2 - Nomination made on the application form.

In this proposal the customer nominates their chosen beneficiary on the application form – stating their name and address. This is standard practice in Australia and France.

The Working Group held the view that, it could be argued that by nominating the beneficiary, the policy holder was demonstrating an intention to gift, thereby creating an implied trust and making a tax-effective gift for inheritance tax purposes.

Ideally, however, it would be possible for the policyholder to change the nomination during their lifetime. Assuming that the class of beneficiaries was clearly defined, this would almost certainly create a discretionary trust in the eyes of the law. As a result of this any proceeds would fall outside of the estate in almost all circumstances.

Within the policy documents the Life Office would have to make sure that the wording of the nomination ensured that the benefit could not revert back to the policy holder in the event of the nominee's death. Failure to achieve this could create an IHT liability.

There would also need to be guidance alerting the policyholder to the possibility of inheritance tax charges every 10 years and where distributions are made to beneficiaries (although these charges would only apply in limited circumstances).

At claims stage the Life Office would be bound by contract law to pay the nominated beneficiary. The beneficiary would in turn receive the monies under trust rules – thereby avoiding IHT liabilities.

In order to make this work well the Working Group recommends regular mailings reminding the policy holder of their nominee and asking the policy holder to keep the address record of the beneficiary up to date.

Issues with the nominations are:

The group identified a number of issues with this potential solution:

- It is new and untested and will require English and Scottish legal opinion. A view will also need to be sought from HMRC on the tax effect
- If the nominee pre-deceases a default clause would be required in the contract e.g. / surviving spouse/children.
- The nominee is not the legal owner of the contract and Life Offices will therefore have to look at their own risk management practices in order to determine if they are comfortable with paying to a third party.
- In the event of a contested claim the Life Office will be in the firing line –any other party who believed that they had a right to the proceeds would be forced to seek redress from the life company who would need to prove that the payment was rightfully made.
- This solution appears to create a trust without any trustees which may create issues.
- If the solution does not create an irrevocable trust, the proceeds will not be outside the policyholder's estate for IHT purposes
- The nominations route looks to work best when a customer is given a range of options:

Who do you want to get the money?	How much of it do you want them to get (% or equal shares)
Your spouse	
Your children	
Your grandchildren	
Other 1..	
Other 2..	
Other 3..	
Other 4..	

However, there may be instances where a customer does not want one of the default choices – they may have to drop out of the process if this is the case.

- Any terminal or critical illness benefits would need to be carved out for the settlor under the terms of the contract.
- The possibility of inheritance tax charges can be dealt with by clear supporting guidance and is further mitigated by the low chances of this happening.
- The issue of Grant of Representation is believed to be removed by the creation of the trust.

The following **SWOT** aims to highlight some of the parameters surrounding this solution.

Strength

- Feels very easy for the customer – ‘just tell me who you want the money to go to?’
- Quick to set up
- Customer and adviser have choice in naming beneficiaries
- Creates certainty for the customer
- Alleviates beneficiary hardship on death of policy holder
- Quick settlement
- No confusing terminology
- IHT solution for the majority

Weakness

- Once it is set up it can't be put into another trust
- The policy can't revert to the owner
- Legal views would have to be sought
- TCF – would customers understand the IHT implications where the solution is taxed as a discretionary trust?
- Will need to limit choice of the number of beneficiaries to make the forms work
- The Life Office will have to change its process
- The Life Office will have to stay in regular contact with the policy holder

Opportunity

- Speeds the process
- Pays outside of the estate

Threat

- If put into trust once a nomination is made does this weaken the solution legally?
- Could the courts challenge it?
- HMRC may not like the impact on revenue
- This is a new concept and as such markets will need to be convinced

5.3. Proposal 3 – Use of a Master Trust.

Master trusts are common in the pensions environment and the proposal was for a straight ‘drag and drop’ of the existing provisions into the protection arena. The Working Group liked the simplicity of the application process and the possibility to re-use existing processes within Life Offices to make this happen.

However, the Working Group felt that there would be little appetite for this solution within Life Offices as the Life Office itself would become the trustee for the policy, and, the master trust (not being a pension trust) would be subject to the settled property regime. Based on experience of dispute resolution for pension proceeds this was felt to be too onerous and the proposal was shelved.

Based on discussions with Standard Life the following issues were also identified:

- Difficulties at claims stage when the deceased's intention is not clear:
 - ✂ Old will (around 30% of cases)
 - ✂ Old expression of wish form
- Disputes resolution – typically where there are 2 or 3 families and 1 parent – these are around 1% of claims.
- Issues when policy beneficiaries cannot be found.
- There are process issues to be thought about around bankruptcy – will the benefit be payable to the nominated person or the trustee in bankruptcy? Does it avoid paying creditors?
- Policies would not be assignable.
- Volume of updates and added process costs. Across the pensions' areas, group and individual, Standard Life receives approximately 300 expressions of wish updates weekly (from a pool of over a million lives).

However, the Standard Life experience is that the end to end process typically takes no longer than 30 days, and in two thirds of cases there are no issues.

5.4. Proposal 4 – Better use of existing Trusts and organic growth.

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There are good examples of both Life Offices and intermediaries making trusts a part of their process and the Working Group considered if, left to its own devices, the market would organically take on best practices. This was not felt to be the case and the Working Group held the belief that industry intervention would be needed to provide a faster resolution.

6. Determining if there is an operational solution available

The findings from Section 4 show that there is clearly a good deal of variation between Life Office Claims practice. The Working Group was able to conduct a process review with one company which brought forward ideas about how changes to existing processes could help speed up claims payments. The key findings were as follows:

The Company pays 81% of claims within 26 days, with a process end to end time of 48 minutes.

The Company stopped using claims forms many years ago and saw significant improvements in elapse time as a result of this process change. Its process is now telephone based and this allows them to gather claim information quickly, whilst at the same time presenting an empathetic service to the customer. There are a number of other companies who also use this process, but it is not universal.

The Company indemnifies death claims up to £50,000. It has paid out around 10,000 death claims over a 5 year period and, in that time, has had 2 counter claims and made one double payment. It is looking at moving its current indemnity to a phone based process. It has also made significant process time savings by moving to this process. Indemnification effectively by-passed the probate process and, by doing so, significantly speeds up the payment.

RGA death claims statistics show that, from a sample of over 5,000 death claims, 44% were for sums assured under £50,000 and 67% were for sums assured under £100,000. Subsequent conversations with Life Offices indicate that, for many, up to 80% of death claims are for sums assured under £100,000.

The indemnification process is already present within many Life Companies and extension of limits is a matter for internal risk appetite. Operational risks can be managed by strong indemnity contracts and front end processes, and the Company's experience suggests that counter claims risks are small and likely to be outweighed by the operational savings.

7. Conclusions

The ILAG Working Group believes that the way is open for Life Offices to reconsider their current processes in order to create better customer outcomes at claims stage.

The use of a nominations route in tandem with a review of back end processes appears to offer good possibilities for policy holders to be able to ensure that, in the event of their death, the proceeds of their policy are paid out quickly to their chosen beneficiaries, this tackles the new business issue.

The nominations process appears to have the advantage of simplicity and also offers the possibility of more flexibility than could be attained through the MWPA approach, but there are drawbacks, most notably:

- The legal and tax effect of the approach is unknown
- By creating a nomination a need is also created for a process to capture changes which will increase costs.

In addition, there also appear to be two immediate opportunities within the back end process which are also worthy of consideration, and which tackle the existing business issue:

- Evidence indicates significant time and cost savings will be made by replacing claims forms with telephony processes.
- By extending the indemnity process to £50,000 or £100,000 it appears possible for Life Offices to achieve cost savings and reduce claims payment times significantly.

The ILAG Working Group has shared its summary findings with the new ABI working group, set up in May 2010.

ILAG would like to thank the individuals and member companies who contributed towards this work package and the Working Group welcomes feedback on its findings (feedback can be relayed through Lynda Maynard, lynda.maynard@ilag.org.uk 01844 273630).